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Unimicron | Asia Pacific

Raising CY27 capex, signaling strong demand outlook

We view the raised CY27 capex budget as a positive, signaling strong demand as Unimicron looks to prepare sufficient capacity for the coming years. We believe we are still in the [early innings of an AI-driven upcycle for ABF substrates, with S/D imbalance starting from CY27.](#)

Key Takeaways

- Raising CY27 long lead time equipment capex to NT\$14.1B (+NT\$4.9B), signaling strong demand outlook

Announced additional investments for long lead time equipment for 2027:

Unimicron had only recently announced increasing CY27 capex for long lead time equipment to NT\$9.2B (+NT\$6.7B) on February 24. On March 13, the board passed a resolution to further increase long lead time equipment capex to NT\$14.1B (+NT\$4.9B). We believe this signals a strong end demand outlook, and that Unimicron is taking the necessary steps to ensure it has sufficient capacity to support future growth.

Stay OW with PT at NT\$550: Our price target implies 31x CY27 P/E, above the 10-20x range, but earnings are growing meaningfully, driven by the AI-driven cycle, so its 2027 PEG, based on our price target, looks attractive at only 0.3x.

MORGAN STANLEY TAIWAN LIMITED+

Howard Kao

Equity Analyst

Howard.Kao@morganstanley.com

+886 2 2730-2989

Sharon Shih

Equity Analyst

Sharon.Shih@morganstanley.com

+886 2 2730-2865

Irene Yen

Research Associate

Irene.Yen@morganstanley.com

+886 2 2730-2869

Unimicron (3037.TW, 3037 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$550.00
Up/downside to price target (%)	8
Shr price, close (Mar 13, 2026)	NT\$508.00
52-Week Range	NT\$509.00-69.68
Sh out, dil, curr (mn)	1,505
Mkt cap, curr (mn)	US\$23,827
EV, curr (mn)	US\$26,123
Avg daily trading value (mn)	US\$182

Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (NT\$)**	3.31	4.34	8.67	17.73
EPS (NT\$)§	4.73	3.93	10.98	20.22
Revenue, net (NT\$ mn)	115,373	131,241	161,122	209,386
EBITDA (NT\$ mn)	21,930	25,344	36,261	54,198
ModelWare net inc (NT\$ mn)	5,082	6,673	13,328	27,257
P/E	42.2	50.7	58.6	28.6
P/BV	2.2	3.3	6.8	5.8
RNOA (%)	2.3	3.5	7.5	14.3
ROE (%)	5.3	6.7	12.8	23.9
EV/EBITDA	13.1	16.2	23.2	15.2
Div yld (%)	2.1	0.7	0.4	0.8
FCF yld ratio (%)	(9.3)	2.9	2.0	6.0
Leverage (EOP) (%)	(3.8)	(12.5)	(24.1)	(51.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Unimicron 3037.TW			
CY27 capex	13 Mar 26	Strengthens	N/A

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Unimicron (3037.TW)

Base case, residual income (RI) valuation model, which we think derives the most accurate value of the firm given that it takes into account cost of equity. We use a cost of equity of 9.2% [risk-free rate of 1% (10-year Taiwan government note yield), equity risk premium of 8.7%, and a beta of 1.0], a medium-term growth rate of 10%, and a terminal growth rate of 3%..

Risks to Upside

- Better-than-expected ABF substrate demand from PC and server customers
- Capex cuts; halt to its capacity expansion plan
- Continued yield issues of alternative technology that doesn't require substrate (e.g., CoWoP)

Risks to Downside

- Sudden demand shortfall
- Technological change that would not require ABF substrates
- Intensifying competition
- Yield issues or production hiccups when ramping new capacity

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(as of February 28, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1528	41%	444	49%	29%	690	42%
Equal-weight/Hold	1590	43%	374	41%	24%	725	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	588	16%	87	10%	15%	220	13%
Total	3,710		906			1636	

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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 3/1/21 : NA/I; 10/22/21 : O/I; 6/1/22 : E/I; 2/22/23 : U/I; 4/15/25 : E/I; 2/23/26 : O/I

Price Target History: 10/22/21 : 188.06; 10/27/21 : 237.55; 2/9/22 : 267.24; 2/24/22 : 366.22; 6/1/22 : 237.55; 8/23/22 : 178.16; 10/27/22 : 133.62; 12/21/22 : 123.72; 2/2/23 : 116.79; 2/22/23 : 98.98; 6/7/23 : 138.57; 11/7/23 : 125.7; 1/24/24 : 118.77; 4/15/25 : 81.66; 7/30/25 : 120.75; 2/23/26 : 500; 2/26/26 : 550

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (03/13/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$32.28
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb88.94
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$30.18
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb10.58
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb18.07
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb394.03
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$429.50
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.69
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb31.94
Largan Precision (3008.TW)	E (10/17/2025)	NT\$2,345.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb10.27
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb9.68
Q Technology (Group) Company Ltd (1478.HK)	E (11/10/2023)	HK\$8.81
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb78.98
Shanghai Conant Optical Co Ltd (2276.HK)	E (09/11/2025)	HK\$55.60
Shenzhen Transsion Holdings Co Ltd (688036.SS)	O (10/24/2023)	Rmb57.99
Sunny Optical (2382.HK)	O (07/10/2025)	HK\$56.40
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb325.00
Wingtech Technology Co Ltd (600745.SS)	E (11/10/2023)	Rmb33.11
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$33.32
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb241.90
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$159.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb115.88
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.62
Zhongji Innolight Co Ltd (300308.SZ)	O (11/06/2023)	Rmb542.02
ZTE Corporation (0763.HK)	E (03/11/2024)	HK\$24.98

ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb36.46
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$1,420.00
Advantech (2395.TW)	O (01/20/2021)	NT\$342.50
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,020.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$16.55
Bizlink (3665.TW)	O (03/10/2025)	NT\$1,590.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.36
BOE Varitronix Ltd (0710.HK)	O (06/20/2023)	HK\$4.42
Chenbro (8210.TW)	O (07/23/2025)	NT\$894.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$1,530.00
E Ink Holdings Inc. (8069.TWO)	E (01/07/2026)	NT\$152.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$42.75
Hiwin Technologies Corp. (2049.TW)	E (02/27/2026)	NT\$238.50
Innolux (3481.TW)	E (04/07/2025)	NT\$29.70
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$3,365.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb31.51
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$97.00
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb18.14
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.83
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb9.39
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb134.90
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$27.35
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$589.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$32.20
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.46
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$233.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$935.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb61.79
Lenovo (0992.HK)	E (11/16/2025)	HK\$9.37
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,750.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$515.00
Pegatron Corporation (4938.TW)	U (11/16/2025)	NT\$75.80
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$289.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb63.44
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb250.23
Unimicron (3037.TW)	O (02/23/2026)	NT\$508.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$134.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$4,070.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$258.00
Zhen Ding (4958.TW)	E (08/02/2022)	NT\$188.50
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$1,865.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,055.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$185.50
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,385.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,755.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb52.49
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$53.70
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb25.19
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$214.50
LandMark Optoelectronics Corporation (3081.TWO)	O (01/19/2026)	NT\$1,485.00
Lingyi ltech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb14.36
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$167.00

Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb49.33
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$144.50
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$150.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$237.50

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* Historical prices are not split adjusted.